

HEADLINE JUDGMENT

Note: 6 Aug figures are intraday prints; the last confirmed close is Wednesday 5 Aug. The integrity check clears — the 5 Aug row has refreshed with true closes. **Score HOLDS at 27/30. No channel moved.** The edition turns on two things. First, **the dated Stage-4 supply test came in benign.** The Treasury quarterly refunding statement on Wednesday held coupon sizes at exactly the guided 3Y \$58bn / 10Y \$42bn / 30Y \$25bn — no increase, three days after Treasury raised its July–September borrowing estimate by \$68bn to \$739bn. The long end had already rallied into it and kept rallying: the 30Y closed **5.1680%**, its lowest since 28 July, Stage-4 Threshold B is unsatisfied on a third consecutive close, and **MOVE collapsed 3.98 points to 73.58 — below the 75 line that forms the second leg of the Treasury downgrade for the first time since 29 July, and within 0.20 points of its pre-war level.** For the first time in this war one of the two Treasury downgrade legs is satisfied on a confirmed close. The other is not: the 30Y is 16.80 bp above the 5.00% line, wider than the 6.90 bp gap of 17 July when the two were last simultaneously in range. The downgrade has rotated, not arrived — and the actual auction, the 30Y refunding leg, is on 13 August. Second, **the corridor negotiation acquired an architecture and a countervailing threat in the same 24 hours.** Baghaei said on Wednesday that Iran and Oman have agreed the geographical coordinates of the route and that a joint statement is in final drafting; Axios reported a 60-day interim mechanism with inbound traffic through Iranian waters, outbound through Omani waters, no tolls for 60 days and mine clearing targeted at 30 days. Against that: **no Omani confirmation of any kind could be sourced**, deputy foreign minister Gharibabadi said flatly that US claims of negotiations 'are untrue', Axios and the Irish Times contradict each other on whether the Supreme Leader has approved, Trump said the cancelled strike package could be sent 'up again', and **Reuters reported that Araghchi warned Saudi, Turkish and Qatari counterparts and Pakistan's army chief that Iran will strike Gulf energy facilities, refineries, power grids, water infrastructure and oil fields if Washington attacks Iranian infrastructure.** A tanker reported two explosions off Kumzar in the strait this morning. Five of six channels remain maxed; only oil, at 2/5, can raise this number, and its downgrade anchor is \$5.38 away on the last close. Sequencing 27 → 27 → 27.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

6 Aug 2026 readings are intraday prints from the Singapore morning. The 5 Aug row has refreshed and is a confirmed close; the integrity check clears. d/d is 6 Aug intraday vs the 5 Aug close; w/w is vs the 30 Jul close (five sheet-rows back); vs-pre-war is against the 27 Feb 2026 close. Restated continuation series (front-month CO2/CL2) in force. Wednesday's US session was the quietest reconciliation in a fortnight in crude — Brent closed 10 cents ABOVE the snapshot — but not in European gas or rates volatility, where it was not quiet at all.

Benchmark	Intraday 6 Aug	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$78.20 /bbl (H 78.34 / L 77.39)	+\$0.34 (−\$8.68 w/w)	from \$72.48 (+7.9%) — a \$5.72/bbl premium . The two-session collapse has stopped: Brent has now traded a 95-cent range on the morning and is 34 cents above Wednesday's close, the first up-session in four. Active COA prints \$79.93	CO2 Comdty (Close)
Brent · 5 Aug close (last confirmed)	\$77.86 /bbl	−\$0.07 vs the 4 Aug close \$77.93	\$17.14 below the \$95 trigger on a close basis; \$5.38 above the \$72.48 downgrade anchor , marginally narrower than Tuesday's \$5.45 and the narrowest of the war since 10 Jul. After falling \$10.00 in two sessions the market simply stopped: seven cents on the day. Wednesday's close ran 10 cents ABOVE my Wednesday-morning snapshot — the smallest crude reconciliation gap since 21 Jul, one session after the largest.	CO2 Comdty (Close)
WTI front-month	\$74.45 /bbl	+\$0.40 (−\$6.35 w/w)	from \$67.02 (+11.1%) — the CL2 artifact against the active contract persists, CLA prints \$75.64 against CL2's \$74.45. The 5 Aug close of \$74.05 is the lowest of the war since 10 Jul	CL2 Comdty (Close)
Brent–WTI spread	\$3.75 /bbl	narrower by \$0.06 on the day	\$4.29 on the active contracts (COA \$79.93 / CLA \$75.64). The spread has held between \$3.14 and \$3.81 for five sessions after halving from \$6.44 on the 31 Jul close. The Hormuz-specific premium that came out on the de-escalation trade has still not gone back in, and this morning's bounce lifted both benchmarks together	derived
Henry Hub natural gas	\$2.672 /MMBtu	−\$0.016 (−\$0.086 w/w)	from \$3.06 (−12.8%) — the lowest reading since 29 Apr , and a third consecutive new post-April low. US gas is now further below pre-war than at any point in the war; twenty-three weeks in, the Hormuz/LNG-routing signature is intact and strengthening. This remains a routing shock, not a global-energy shock	NGA Comdty (Close)
TTF Dutch gas (active)	€53.850 /MWh	+€1.446 (−€4.467 w/w)	from €31.23 (+72.4%) — a bounce off Wednesday's close of €52.404, the lowest since 13 Jul . That close fell €3.517 on the day and ran €2.696 BELOW my Wednesday-morning snapshot; European gas has now given back €11.245 from the 24 Jul war record of €63.649 in eight sessions	TZTA Comdty (Close)
Japan/Asia LNG (5 Aug close — no 6 Aug print)	¥3,353	−¥87 vs the 4 Aug ¥3,440	from ¥1,669 (+100.9%) — the 5 Aug print BACKFILLED in this extract and is the lowest since 17 Jul. There is no 6 Aug print, flagged and NOT carried forward. Asia LNG has now turned down with TTF rather than against it, closing the divergence flagged yesterday. Hormuz still moves roughly a fifth of global LNG	JGLA Comdty (Close)

US Treasuries and inflation expectations — Bloomberg

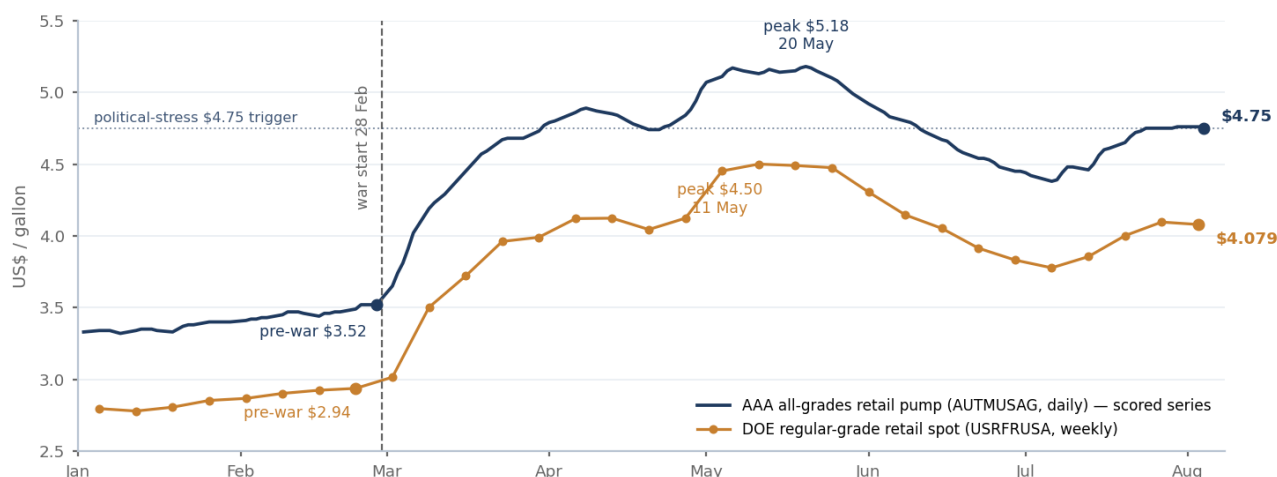
6 Aug 2026 yields are intraday. The 5 Aug close is confirmed and is the reading on which every trigger and Stage-4 test below is judged. d/d is vs the 5 Aug close; w/w vs 30 Jul. Wednesday's US session moved the curve only 1.0 to 1.3 bp below the Singapore-morning snapshot — a tenth of Tuesday's gap — but it took MOVE down 3.98 points, which is the move that matters.

Tenor	Yield (%) — intraday 6 Aug	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.19	+0.4	−6.1	+81.0 (from 3.37%) — the front end has given back 10.6 bp from the 31 Jul close, still more than the long end	USGG2YR Index
5-year UST	4.32	−0.2	−6.4	+82.2 (from 3.50%)	USGG5YR Index
10-year UST	4.61	−0.2	−6.3	+67.3 (from 3.94%) — the 5 Aug close of 4.6127% is a third consecutive close below the 4.65% Stage-4 leg , 3.73 bp under it, and the lowest since 28 Jul. This morning's 4.6107% is 3.93 bp below the leg. The war record is the 4.7347% of 31 Jul, now 12.4 bp away	USGG10YR Index
30-year UST	5.16	−0.4	−5.0	+55.3 (from 4.61%) — the 5 Aug close of 5.1680% is the lowest since 28 Jul , 3.20 bp below the 5.20% Stage-4 leg, 11.80 bp above the 13 May auction stop against 12.43 bp on Tuesday, and 16.80 bp above the 5.00% downgrade line . This morning's 5.1638% extends it. The war record is the 5.2724% of 31 Jul	USGG30YR Index
2s10s spread	+42.3 bp	−0.4	−0.2	−13.3 (still flatter than pre-war) — the curve is unchanged on the week to within a fifth of a basis point while the level of yields fell 5 to 6 bp. This remains a parallel unwind, not a change in curve shape. It is 18.1 bp off the 24 Jun war low of +24.25 bp	USYC2Y10 Index
10Y breakeven inflation	2.216	−0.1	−4.4	−4.1 (from 2.2569%) — the 5 Aug close of 2.2176% is a second consecutive close BELOW the pre-war anchor and the lowest since 28 Jul. Spot inflation compensation has more than round-tripped the war premium it built in July	USGGBE10 Index
5Y5Y forward inflation	2.306	−0.1	−2.4	+16.4 (from 2.14%) — the 5 Aug close of 2.3067% is a SEVENTH consecutive close above the 2.30% trigger that fired this channel 4→5 on 31 Jul — but by only 0.67 bp , and it is the lowest since 28 Jul. A fourth consecutive decline from the 2.3597% war record. The forward has given back 5.30 bp in total while spot compensation gave back 6.70 bp and crude gave back \$10.07	USGG5Y5Y Index
SOFR (blank 5 and 6 Aug)	3.66	—	no print	the 4 Aug print has BACKFILLED at 3.66 , a basis point above the 3.65 reported as the last print yesterday. 5 and 6 Aug are blank, flagged and NOT carried as fresh. Two consecutive dark sessions	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Gauge	Latest	As of	Δ vs pre-war	Interpretation
DXY	99.670	6 Aug intraday	+2.06 (from 97.61)	Flat this morning after Wednesday closed at 99.676 — the lowest close since 16 June and a fifth consecutive daily decline. The dollar has fallen every session since the de-escalation trade began; it did not firm as a haven and has not firmed as yields fell, which is a US-rates unwind rather than a risk event.
MOVE	73.58	5 Aug close (no 6 Aug print)	+0.20 (from 73.38)	Down 3.98 on the session, 9.44 from Friday's 83.02, and its lowest since 20 July . Two things follow. First, MOVE is now BELOW the 75 line forming the second leg of the Treasury downgrade — the first time since 29 July, and the leg is satisfied on a confirmed close . Second, at 73.58 it is 0.20 points above where it stood the day before the war started: rates volatility has fully round-tripped the conflict. 56.42 points below Threshold C. No 6 August print.
VIX	15.81	5 Aug close (no 6 Aug print)	−4.05 (from 19.86)	Down 0.69 and its lowest since 15 July, reversing Tuesday's rise. Equity and rates volatility fell together this session after diverging on Tuesday. It sits 4.05 points below pre-war and 15.24 below the 31.05 war high of 27 March. There is no 6 August print.
AAA gasoline	\$4.75 /gal	4 Aug print (5–6 Aug blank)	+\$1.23 (from \$3.52, +34.9%)	Political-stress score reference. The 4 Aug print has BACKFILLED at \$4.75 — one cent below Monday and the FIRST print not above the \$4.75 trigger since 29 July . The run through the line is therefore three closes (30, 31 Jul, 3 Aug), not four. The channel does not move: \$4.75 is the trigger level itself, not a retreat from it, and hysteresis requires a sustained reversal past a wider threshold. Blank 5 and 6 Aug, flagged not carried. Basis note: all-grades, not the regular-grade average AAA publishes, which printed \$4.0801 on 5 Aug.
DOE gasoline	\$4.079 /gal	3 Aug weekly print (no new release)	+\$1.14 (from −\$2.94, +38.9%)	Corroboration only. No new print — weekly series, next EIA release Monday 10 Aug. AAA's own regular-grade average fell to \$4.0801 on 5 Aug from \$4.0892 on 4 Aug and \$4.0907 a week earlier: retail gasoline is flat-to-easing on every corroborating measure. Diesel is doing the opposite — \$5.3622 on 5 Aug against \$5.3293 a week earlier and \$4.7773 a month earlier, up 58.5 cents in a month.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war \$3.52, peak \$5.18, latest confirmed print \$4.75 on 4 Aug, backfilled in this extract; 5 and 6 Aug blank); USFRUSA (DOE regular-grade retail spot, weekly) is the complementary gauge (pre-war ~\$2.94, peak \$4.50, latest \$4.079 for the week to 3 Aug, no new release until 10 Aug). The dotted line is the \$4.75 political→5 threshold. The shape at the right-hand end is the story: exactly \$4.75 on 24, 27, 28 and 29 Jul, through the line at \$4.76 on 30 and 31 Jul and 3 Aug — three closes that fired and then reinforced the 4→5 upgrade — and now a 4 Aug backfill at \$4.75, back ON the line rather than through it. The break has stopped extending. Diesel has not: AAA had on-highway diesel up 58.5 cents on the month at \$5.3622, with EIA distillate stocks down 3.5 mb in the week to 31 Jul to about 12% below the five-year average.

Strait operational state

Indicator	Current reading	Source
Strait closed · day 158	Closed since 28 Feb. UKMTO's JMIC Advisory Note Update 080 of 4 Aug — superseding the Update 079 of 2 Aug reported yesterday — records 80 maritime security incidents since 1 March , holds the Strait of Hormuz at SEVERE with the Gulf of Oman and southern Red Sea SUBSTANTIAL , logs single-digit tanker transits a day against a 138/day historical average , and puts US blockade redirections at 44 vessels as of 3 Aug . Lloyd's List Intelligence counted 84 transits in the week to 2 Aug against 45 the week before , 52 non-Iranian-linked against 28 — the largest proportional weekly rise of the war, from a very low base, alongside two confirmed strikes on ships using the Omani route since 1 Aug and 65 vessels trapped inside the Gulf. Other trackers stay irreconcilable and are reported unreconciled: Windward 15 transits in the 24h to 3 Aug with 4 dark; TankerMap ZERO on 5 Aug; straits.live 2 vessels on 2 Aug against a typical 73.	UKMTO / Lloyd's List Intelligence / Windward / TankerMap / straits.live
THE CORRIDOR TALKS ACQUIRE AN ARCHITECTURE — AND STILL NO OMANI VOICE	Baghaei said on 5 Aug that Iran and Oman have agreed the geographical coordinates of the proposed route and that a joint statement remains in final review and drafting , contingent on 'no interference from third parties' — while adding it 'in itself does not mean the strait is safe' with the US blockade in place. Axios reported a 60-day interim mechanism : inbound via a northern lane through Iranian waters, outbound via a southern lane through Omani waters, no tolls for 60 days , mine clearing targeted at 30 days, Qatar/Pakistan/Saudi Arabia mediating, Witkoff, Araghchi and Badr al-Busaidi as principals. Nothing is signed and no Omani statement of any kind could be sourced . Axios says Iranian leadership approved on 4 Aug; the Irish Times says the Supreme Leader must still approve; Pezeshkian says contact with him is 'very difficult'. Trump said the two sides 'are talking', refused Iranian fees, and said the cancelled strike package may have to be sent 'up again'; Gharibabadi said US claims of negotiations 'are untrue' . A Gulf official told CNN a deal by Friday was 50-50.	Reuters / Bloomberg / Axios / ABC News / CBS News / CNN / Irish Times / IRNA (Tier 3)
IRAN THREATENS GULF ENERGY INFRASTRUCTURE IF THE US STRIKES — Reuters exclusive	Araghchi contacted his Saudi, Turkish and Qatari counterparts and Pakistan's army chief with an unequivocal warning that Iran would retaliate against Gulf energy facilities, refineries, electricity grids, water infrastructure, transport networks and oil fields if Washington attacked Iranian infrastructure , with explicit reference to the 2019 Aramco attacks. Saudi Crown Prince Mohammed bin Salman phoned Trump urging delay; Riyadh separately told Tehran it would defend itself. This is the most specific threat to Gulf energy infrastructure the monitor has recorded, and it is conditional on a US strike that has not come.	Reuters (Hafezi / Nakhoul), 5 Aug
A seventh session without a strike — and a third maritime incident in four days	No Tier 1 outlet reported a new US, Israeli or Iranian strike on 4–6 Aug . CENTCOM has issued no combat release since 29 Jul and stated on 5 Aug that the southern route ' remains free and open for all commercial vessels ', with 1,000+ vessels assisted in three months. Against that: this morning a tanker reported two explosions while transiting about 9 nm south-east of Kumzar, Oman , vessel and crew safe, no attribution. The Minoan Pioneer struck off Khasab on 4 Aug remains unresolved — no attribution, no news of the missing third engineer, no salvage report after 4 Aug . In the Red Sea the Houthis claimed missile attacks on the Saudi tankers Wafa off Yanbu and Daisy in the Gulf of Aden (combatant claims, no Saudi confirmation) and told Bloomberg they will target tankers in the NORTHERN Red Sea.	CENTCOM / UKMTO via Al Jazeera / Bloomberg / CBS News / Splash247
Both dated tests landed, and both landed benign	The Treasury quarterly refunding statement (5 Aug) held every coupon size — 3Y \$58bn, 10Y \$42bn, 30Y \$25bn inside a \$125bn August package, exactly the 6 May guidance, with no increase despite Monday's \$68bn upgrade to quarterly borrowing. Buybacks up to \$38bn off-the-run plus \$25bn for cash management; TIPS held. Auctions 11, 12 and 13 Aug (30Y) , settling 17 Aug. The EIA weekly (week to 31 Jul) : crude 407.0 mb (+2.5), gasoline 209.7 mb (–1.6), distillate 107.2 mb (–3.5, ~12% below the five-year average), refinery utilisation 96.5%, and SPR 304.8 mb after a 3.0 mb draw , a second consecutive weekly draw from 307.7 mb.	US Treasury (sb0590) / EIA Weekly Petroleum Status Report

2 · US economic shock — analysis with bond yields

The shock holds at 27/30 and no channel moved, and this time the composition barely moved either — which is itself the finding. Wednesday was the first session in five that did not reprice something: Brent closed seven cents lower, the curve fell 1.0 to 1.3 bp, and the whole US session ran ten cents ABOVE my morning Brent snapshot after Tuesday's \$3.99 miss. Underneath that calm the two dated tests this monitor had been pointing at for a week both landed and both landed benign. **Treasury held coupon sizes at exactly the guided 3Y \$58bn / 10Y \$42bn / 30Y \$25bn**, and the EIA weekly showed crude building 2.5 mb. The long end took the statement as permission: the 30Y closed at its lowest since 28 July and **MOVE fell 3.98 to 73.58, its lowest since 20 July and the first close below the 75 leg of the Treasury downgrade since 29 July**. On the news side the corridor negotiation gained architecture — agreed coordinates, a 60-day interim mechanism, mine clearing targeted at 30 days — and simultaneously gained a threat: Reuters reported Iran warning three Gulf foreign ministers and Pakistan's army chief that it would hit Gulf energy infrastructure if Washington struck Iranian infrastructure. The correct reading of a quiet tape is not that the risk fell. It is that the market has now priced the deal and the fiscal test, and has priced neither the seven-day-old strike package Trump says could be sent 'up again' nor the retaliation Tehran has just described in detail.

2.1 · Bond-yield transmission

6 Aug yields are intraday; the 5 Aug close is confirmed and every trigger runs off it. No channel moved. Score holds at 27/30.

(i) Treasury — held at 5 (max), and for the first time in the war one leg of its downgrade is satisfied. The refunding statement was the event. Treasury held nominal coupon and FRN auction sizes at the levels guided on 6 May — 3Y \$58bn, 10Y \$42bn, 30Y \$25bn inside a \$125bn August package — three days after telling the market it would need to borrow \$739bn this quarter against the \$671bn projected in May. The supply test that armed Stage-4 Threshold A therefore did not fire. What did move is volatility: **MOVE closed 73.58, down 3.98 on the session and 9.44 from Friday's 83.02, its lowest since 20 July, and BELOW the 75 line that forms the second leg of this channel's downgrade**. At 73.58 the index is 0.20 points from its 73.38 pre-war anchor; rates volatility has round-tripped the entire war. The downgrade still fails, and it fails on the other leg: the 30Y closed 5.1680%, **16.80 bp above the 5.00% line**. That matters more than it looks. The last time both legs were simultaneously in range was 17 July, when MOVE was 70.88 and the 30Y was 5.0690% — a 6.90 bp gap. Today the volatility leg is satisfied outright and the yield leg is two and a half times further away than it was a month ago. The downgrade has rotated rather than approached, and the honest description of this channel is that it is pinned at 5 by a long end that has repriced war risk without repricing the fiscal arithmetic. Treasury still needs \$68bn more this quarter than it said in May; it has simply chosen to fund it in bills and buybacks rather than coupons. One wording change is flagged and reported as unverified at primary level: the statement says Treasury 'anticipates maintaining' coupon and FRN sizes, where the prior construction was that it did not anticipate needing to INCREASE them. BMO and Santander strategists, quoted second-hand, read that as a possible step away from forward guidance; the 6 May text could not be retrieved for a word-level comparison.

(ii) Oil — held at 2, and the session that stopped falling is more informative than the two that fell. Brent's 5 August close of \$77.86 is seven cents below Tuesday after a \$10.00 two-session collapse, and this morning it prints \$78.20, the first up-session in four. The close sits **\$17.14 below the \$95 upgrade trigger and \$5.38 above the \$72.48 downgrade anchor** — the narrowest that gap has been in the war since 10 July, seven cents narrower than yesterday. The downgrade needs both legs: a mediated pause AND a close at or below \$72.48. Neither is met, and the reason the price leg has not carried on falling is worth stating. The de-escalation trade ran for two sessions on cabinet-level statements and stopped when the physical facts did not follow: the strait is shut on day 158, UKMTO holds it at SEVERE, TankerMap counted zero transits on 5 August, and the EIA weekly showed **distillate stocks falling 3.5 mb to about 12% below the five-year average** with refinery utilisation still at 96.5%. Spare capacity was ~0.17 mb/d on the IEA's July estimate, so September's 188k b/d is a quota rather than a cargo; Jizan is out to ~15 August; Abqaiq and Damiatta unreported since 30 July. The market has repriced the probability of a settlement, not the balance. At 2/5 this channel is the only one that can raise the score, and it is still closer to falling than rising — but the fall requires an instrument nobody has published.

(iii) Escalation risk — held at 5 (max). The downgrade candidate is stronger in form and weaker in evidence than yesterday. Stronger in form: agreed route coordinates, a joint statement in final drafting, a 60-day interim mechanism with a 30-day mine-clearing target, named principals, three named mediators, and a seventh consecutive session with no reported strike on Iran. Weaker in evidence: **every element of it is Iranian-sourced or single-outlet**. No Omani statement of any kind could be sourced — the mediator has said nothing on the record. Axios and the Irish Times contradict each other on whether the Supreme Leader has approved, and Pezeshkian's remark that contact with him is 'very difficult' makes the approval claim harder to sustain, not easier. Gharibabadi said on the record that there are no negotiations with the United States at all. And the same 24 hours produced **Reuters' report that Iran warned three Gulf foreign ministers and Pakistan's army chief it would strike Gulf energy facilities, refineries, grids, water and transport if Washington attacked Iranian infrastructure**, plus Trump's statement that the cancelled package could be sent 'up again', plus a tanker reporting two explosions off Kumzar this morning. A channel does not come off its maximum in a window that contains an explicit threat to Gulf energy infrastructure and an unexplained detonation beside a ship. The 3 August episode remains the reference case: an announcement is not an event.

(iv) US inflation impulse — held at 5 (max), and the forward is now 0.67 bp from giving back the break that fired it. 5Y5Y forward inflation closed 2.3067% on 5 August — a seventh consecutive close above the 2.30% trigger, a fourth consecutive decline from the 2.3597% war record, and the lowest since 28 July. It has given back 5.30 bp in total. The 10Y breakeven closed 2.2176%, a second consecutive close below the 2.2569% pre-war anchor and also the lowest since 28 July. Spot inflation compensation has now more than round-tripped its war premium; the forward is within two-thirds of a basis point of doing the same. Under the documented rule this channel does not move: the downgrade is 5Y5Y sustained at or below the 2.142% pre-war anchor, which is **16.47 bp away**, and hysteresis requires a sustained reversal past a wider threshold than the one that fired the upgrade. The tension between those two statements is real and is flagged rather than resolved: the channel fired 4→5 on a 2.30% break that is about to disappear, while its stated downgrade sits 16 bp lower. What argues for holding is not the rule alone. It is the data underneath. **ISM services prices-paid jumped to 70.3 on 5 August** against a headline that missed at 54.1, ADP printed +44k against a ~+70k consensus, and Federal Reserve Governor Lisa Cook said the same day that **'if I do not see signs of continued disinflation soon, I am prepared to act'** — having voted with the majority to hold on 29 July. A soft labour print with a hot prices index and a hawkish shift from a median voter is not the configuration in which forward inflation compensation is safely unwinding. Payrolls land on 7 August and CPI on 12 August.

(v) Political stress — held at 5 (max), but the break has stopped extending. AUTMUSAG has backfilled 4 August at **\$4.75 — one cent below Monday and the first print not ABOVE the trigger since 29 July**. The run of closes through the line is three (30 and 31 July and 3

August), not four, and yesterday's framing that the upgrade was being 'reinforced' is therefore corrected: it is intact, not reinforced. The channel does not move. \$4.75 is the trigger level itself rather than a retreat from it, the downgrade condition is a sustained retreat toward the \$3.52 pre-war anchor, and the series is \$1.23 above that anchor. The series is blank for 5 and 6 August and is flagged rather than carried. Every corroborating retail gasoline measure is now flat to easing — AAA's own regular-grade average \$4.0801 on 5 August against \$4.0907 a week earlier, the DOE weekly \$4.079 with no new release until 10 August. **Diesel is the counterweight and it is getting heavier.** AAA had on-highway diesel at \$5.3622 on 5 August, up 58.5 cents in a month against a flat gasoline, and the EIA weekly showed distillate stocks down 3.5 mb to roughly 12% below the five-year average — the widest deficit of the three product series and wider than the ~10% reported a week ago. Refining, not crude, is the binding constraint on the pump, which is why Brent at \$77.86 has not disarmed this channel.

(vi) Maritime denial — held at 5 (max), and the traffic data moved for the first time in weeks. The strait is closed on day 158. **Lloyd's List Intelligence counted 84 total transits in the week to 2 August against 45 the week before, with non-Iranian-linked transits up from 28 to 52 and westbound non-Iranian-linked from 11 to 21** — the largest proportional weekly increase of the war. That is a real signal and it is nowhere near the downgrade condition. Against UKMTO's own historical baseline of 138 transits a day, 84 in a week is about 9% of normal; the condition is traffic above 25% of normal sustained for ten sessions. UKMTO holds the strait at SEVERE, logs single-digit tanker transits a day, and records 44 vessels redirected under the US blockade as of 3 August; TankerMap counted zero on 5 August; Lloyd's List notes 65 vessels that entered during the lull and remain trapped, plus 70 more stuck since the conflict began, and two confirmed strikes on ships using the Omani route since 1 August. CENTCOM's 5 August statement that the southern route 'remains free and open' sits awkwardly beside a tanker reporting two explosions off Kumzar this morning, and the monitor reports both rather than choosing. The instrument that would start the ten-session clock — a signed corridor agreement — has coordinates and a draft and no signature.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. Threshold A's statement leg resolved benignly on 5 August; its auction leg is on 13 August. Threshold B is unsatisfied on a third close.

Threshold A · 13 May 30Y auction, cleared 5.050% — the statement passed, the auction is next. Treasury's quarterly refunding statement on 5 August held every nominal coupon size at the level guided on 6 May: 2Y \$69bn, 3Y \$58bn, 5Y \$70bn, 7Y \$44bn, 10Y \$42bn new issue, 20Y \$16bn, 30Y \$25bn new issue, 2Y FRN \$28bn — a \$125bn August package. It did so three days after raising July–September net marketable borrowing to \$739bn from the \$671bn projected on 4 May, funding the gap with bills, buybacks of up to \$38bn off-the-run plus \$25bn for cash management, and a possible short-dated CMB around end-August. The specific sequence that would make this threshold live rather than historical was a coupon increase followed by a weak long-end auction. **The first leg did not happen.** The second is dated: 3Y on 11 August, 10Y on 12 August and the **30Y on 13 August**, all settling 17 August. The 5 August close of 5.1680% is 11.80 bp above the May stop, down from 12.43 bp on Tuesday and 22.24 bp at the 31 July war-widest. A tail on 13 August into a long end still 55 bp above its pre-war anchor is what would re-arm this.

Threshold B · 30Y above 5.20% with 10Y above 4.65% — NOT SATISFIED, third consecutive close. The 5 August close of 5.1680% / 4.6127% misses both legs by 3.20 bp and 3.73 bp, and this morning's 5.1638% / 4.6107% misses by 3.62 bp and 3.93 bp. The satisfied run it ended was 29 July through 3 August, four closes including the 5.2724% and 4.7347% war records of 31 July. Two qualifications stand from yesterday and one is new. The unwind remains a risk-premium unwind rather than a repair of the fiscal arithmetic — Treasury still needs \$68bn more this quarter than it said in May, it has just chosen not to raise coupons to get it. The threshold can still re-arm on a single bad auction, and the auction is on 13 August. What is new is that the refunding statement has removed the most obvious catalyst for a re-arm inside the next week, which is why the long end kept rallying after it.

Threshold C · MOVE above 130 — far off, and the index has now round-tripped the war. MOVE closed 73.58 on 5 August, down 3.98 on the session and 9.44 from Friday's 83.02, its lowest since 20 July. That is 56.42 points below the threshold and 41.44 below the 115.02 war high of 26 March, so C is not close on any reading. The observation that matters is elsewhere: **73.58 is 0.20 points above the 73.38 pre-war anchor and 1.42 points BELOW the 75 line that forms the second leg of the Treasury downgrade.** Rates volatility has fully unwound the conflict while the level of long-end yields has not — the 30Y is still 55.3 bp above its anchor. That combination, low volatility and a high term premium, is the market saying it expects the long end to stay where it is rather than that it has stopped worrying about it. There is no 6 August print and the number is flagged rather than carried as fresh.

2.3 · Cross-asset

The cross-asset signature is the absence of one. After Friday's largest upside reconciliation gap and Tuesday's largest downside gap, Wednesday's US session moved almost nothing: Brent closed ten cents ABOVE my snapshot, the 30Y 1.26 bp below it, the 10Y 1.01 bp below, the 5Y5Y 1.04 bp below and the 10Y breakeven 1.18 bp below. Two fields are the exception. **MOVE printed an actual 73.58 against the 77.56 carried forward, a 3.98-point fall** the morning snapshot could not have shown because the index did not print at all on Tuesday; and **TTF closed €52.404 against my €55.100 snapshot** before bouncing €1.446 this morning, so European gas is still trading the deal in a way crude has stopped doing. Underneath, the routing signature is at its clearest of the war. **Henry Hub prints \$2.672 this morning, the lowest since 29 April and 12.8% BELOW pre-war**, while Asia LNG at ¥3,353 is 100.9% above it and TTF 72.4% above. US natural gas is not participating in this war at all; Asian and European gas are participating entirely. That is a Hormuz-routing shock, not a global-energy shock, and no amount of de-escalation trading has changed it. The dollar fell for a fifth consecutive session to its lowest close since 16 June, which is a US-rates unwind rather than a haven bid, and VIX at 15.81 is 4.05 points below pre-war. The reading to take is that everything except the physical strait has now priced a reopening.

3 · Shock score

Total: 27/30 — CRISIS band. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	5/5	Held at 5 (max). Strait closed to commercial traffic, day 158. Lloyd's List Intelligence counted 84 transits in the week to 2 Aug against 45 the week before — the largest proportional weekly rise of the war, and still only about 9% of UKMTO's 138/day historical baseline. UKMTO Update 080 (4 Aug) holds Hormuz at SEVERE, logs single-digit tanker transits a day and 44 vessels redirected; TankerMap counted ZERO on 5 Aug; 65 vessels are trapped inside the Gulf. Coordinates agreed with Oman, joint statement in drafting, nothing signed and no Omani statement of any kind .	↑ at max. ↓ verified reopening (escorted convoys) with traffic above 25% of normal for 10 sessions → to 3–4. A signed corridor agreement starts that clock; agreed coordinates do not.
Oil price shock	2/5	Held at 2 — the only channel that can raise the score. Last confirmed close \$77.86 (5 Aug), \$17.14 below the \$95 trigger and \$5.38 above the \$72.48 anchor , the narrowest since 10 Jul; intraday \$78.20, the first up-session in four after a \$10.00 two-session fall. The de-escalation trade stalled when the physical facts did not follow: distillate stocks –3.5 mb to –12% below the 5-yr average, refinery utilisation 96.5%, spare capacity ~0.17 mb/d, Jizan out to ~15 Aug, Abqaiq and Damietta unreported.	↑ Brent above \$95 sustained → to 3. ↓ mediated pause + close at/below the \$72.48 anchor → to 1. The price leg is within reach; the pause leg is NOT met — coordinates are not a pause, and a tanker reported explosions off Kumzar this morning.
US inflation impulse	5/5	Held at 5 (max). 5Y5Y closed 2.3067% on 5 Aug, a SEVENTH consecutive close above the 2.30% trigger — but by only 0.67 bp , a fourth consecutive decline and the lowest since 28 Jul. BE10 closed 2.2176%, a second consecutive close below the 2.2569% pre-war anchor. Holding is supported by the data underneath: ISM services prices-paid 70.3 on a 54.1 headline miss, ADP +44k against ~+70k, and Governor Cook saying she is 'prepared to act' if disinflation does not resume.	↑ at max. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 4 (16.47 bp away on the last close, 1.13 bp closer than Tuesday).
Treasury stress	5/5	Held at 5 (max). The refunding statement held every coupon size — 3Y \$58bn / 10Y \$42bn / 30Y \$25bn, exactly as guided on 6 May — so the Stage-4 supply test did not fire. The 30Y closed 5.1680%, its lowest since 28 Jul, and MOVE fell 3.98 to 73.58, BELOW the 75 downgrade leg for the first time since 29 Jul and 0.20 pts from its pre-war level. Threshold B unsatisfied on a third close. The 30Y refunding leg auctions 13 Aug.	↑ at max. ↓ 30Y close under 5.00% with MOVE under 75 sustained → to 4. The MOVE leg is now SATISFIED; the 30Y leg fails by 16.80 bp — wider than the 6.90 bp of 17 Jul when both were last in range.
Political stress	5/5	Held at 5 (max), but the break has stopped extending . AUTMUSAG has BACKFILLED 4 Aug at \$4.75 — one cent lower and the first print NOT above the trigger since 29 Jul, so the run through the line is three closes, not four. Blank 5 and 6 Aug, flagged not carried. All corroborating retail gasoline measures are flat to easing. Diesel is not: AAA on-highway \$5.3622, up 58.5c on the month, with distillate stocks ~12% below the 5-yr average.	↑ at max. ↓ sustained retreat toward the \$3.52 pre-war level → to 4 then 3. \$1.23 above the anchor; \$4.75 is the trigger level itself, not a retreat from it.
Escalation risk	5/5	Held at 5 (max). The downgrade candidate is stronger in FORM and weaker in EVIDENCE. Form: agreed route coordinates, a joint statement in drafting, a 60-day interim mechanism, 30-day mine-clearing target, seventh session with no reported strike. Evidence: every element Iranian-sourced or single-outlet, no Omani statement at all , Gharibabadi denying any US–Iran negotiation, Axios and the Irish Times contradicting each other on Supreme Leader approval — and Reuters reporting Iran threatened Gulf energy infrastructure if the US strikes .	↑ at max. ↓ mediated stand-down + talks resume → to 4–3. Requires a signed or published instrument, mediator confirmation, and a sustained window with no vessel casualties.
TOTAL	27/30	CRISIS band — HELD. No channel moved . Five of six channels are maxed and only oil, at 2/5, can raise this number. Both dated tests landed benign: coupon sizes held and crude built. The composition change worth recording is that one leg of the Treasury downgrade is satisfied for the first time in the war while the other moved further away, and that the diplomatic track gained an architecture and an explicit Iranian threat to Gulf energy infrastructure in the same 24 hours.	

4 · What's changed since the last edition (5 Aug AM → 6 Aug AM)

Score holds at 27/30; no channel moved. Treasury holds coupon sizes. MOVE breaks below 75. Iran and Oman agree route coordinates. Iran threatens Gulf energy infrastructure. Source: Bloomberg unless stated.

Treasury held every coupon size, and the Stage-4 supply test did not fire. The quarterly refunding statement of 5 August kept 3Y at \$58bn, 10Y at \$42bn and 30Y at \$25bn inside a \$125bn August package, with 2Y \$69bn, 5Y \$70bn, 7Y \$44bn, 20Y \$16bn and the 2Y FRN \$28bn — exactly the 6 May guidance, and no increase despite Monday's \$68bn upgrade to quarterly borrowing. Buybacks of up to \$38bn off-the-run plus \$25bn for cash management; TIPS held; a short-dated CMB flagged for around end-August. The 3Y auctions 11 August, the 10Y 12 August and the 30Y 13 August, all settling 17 August. One wording change is noted and NOT relied upon: 'anticipates maintaining' replaced a prior construction about not needing to increase, which BMO and Santander strategists read second-hand as a possible step back from forward guidance; the 6 May text could not be retrieved for a word-level comparison. Source: US Treasury press release sb0590.

MOVE fell 3.98 to 73.58 — below the 75 leg of the Treasury downgrade for the first time since 29 July. The index has fallen 9.44 points from Friday's 83.02 and is now 0.20 points above its 73.38 pre-war anchor, having fully round-tripped the war. This is the first time in the war that one of the two Treasury downgrade legs is satisfied on a confirmed close. The channel does not move because the other leg fails: the 30Y closed 5.1680%, 16.80 bp above the 5.00% line, against a 6.90 bp gap on 17 July when the two were last simultaneously in range.

Source: Bloomberg.

Iran said it has agreed route coordinates with Oman, and Axios reported a 60-day interim mechanism. Baghaei said on 5 August that 'the geographical coordinates of the route proposed by both sides have been agreed upon' and that a joint statement is in final review and

drafting, contingent on no third-party interference. Axios reported the terms as a 60-day interim arrangement — inbound via a northern lane in Iranian waters, outbound via a southern lane in Omani waters, no tolls or fees for 60 days, naval mine clearing targeted at 30 days — with Qatar, Pakistan and Saudi Arabia mediating and Witkoff, Araghchi and Badr al-Busaidi as principals. Nothing is signed. No Omani official statement of any kind could be sourced, and Axios' claim that Iranian leadership completed its approval on 4 August is contradicted by the Irish Times. Source: Reuters, Bloomberg, Axios, Irish Times, Al Jazeera.

Reuters reported Iran warning three Gulf states it would strike their energy infrastructure if Washington attacks. Araghchi contacted his Saudi, Turkish and Qatari counterparts and Pakistan's army chief with an 'unequivocal' message that Iran would retaliate against Gulf energy facilities, refineries, electricity grids, water infrastructure, transport networks and oil fields if the US struck Iranian infrastructure, invoking the 2019 Aramco attacks. Saudi Crown Prince Mohammed bin Salman phoned Trump urging delay; Riyadh separately warned Tehran it would defend itself. This is the most specific threat to Gulf energy infrastructure recorded by this monitor, and it is conditional on a strike that has not come. Source: Reuters exclusive, 5 August.

The EIA weekly showed crude building and distillate tightening further, with a second SPR draw. For the week to 31 July: crude stocks 407.0 mb, up 2.5 mb and about 6% below the five-year average; gasoline 209.7 mb, down 1.6 mb and 7% below; distillate 107.2 mb, down 3.5 mb and about 12% below — the widest of the three and wider than the ~10% of a week earlier; refinery utilisation 96.5% from 97.2%; and the SPR at 304.8 mb after a 3.0 mb draw, following the prior week's 3.7 mb. Source: EIA Weekly Petroleum Status Report, 5 August.

A tanker reported two explosions in the strait this morning; the Minoan Pioneer remains unresolved. UKMTO reported, via Al Jazeera at 00:30 GMT on 6 August, a tanker hearing two explosions while transiting about 9 nm south-east of Kumzar, Oman, with vessel and crew safe and no attribution — the third maritime safety event in the waterway in four days. No follow-up on the Minoan Pioneer could be sourced after 4 August: no attribution, no news of the missing third engineer, no salvage report. UKMTO's latest published advisory is Update 080 of 4 August, which corrects yesterday's reference to Update 079 of 2 August. Source: UKMTO via Al Jazeera; UKMTO JMIC Advisory Note Update 080.

US labour data softened while services prices accelerated, and a median FOMC voter turned hawkish. ADP private payrolls rose 44,000 in July against a consensus near 70,000, with June revised down to +95k. ISM services printed 54.1 against 54.5 expected, with the employment gauge showing its biggest drop since March — but prices paid jumped to 70.3. Federal Reserve Governor Lisa Cook, who voted with the majority to hold on 29 July, said on 5 August that 'if I do not see signs of continued disinflation soon, I am prepared to act.' A market-implied September hike probability of about 56% is reported second-hand via Kalshi News and is not verified direct from CME Group. Payrolls land 7 August, CPI 12 August. Source: ADP, ISM, American Banker/CNBC, Kalshi News.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Return to full war	30%	Lower for a second session, and still the modal path. Seven consecutive sessions with no reported US, Israeli or Iranian strike; CENTCOM's only release since 29 Jul is a change of command; the cancelled strike package has not been revived. But it has not been shelved either: Trump said on 5 Aug the US had been 'all set for the biggest attack since World War II' and that 'we may have to send it up again', and Vance called Iran's government 'fractured' with factions wanting the war to continue.	Brent \$105–140; MOVE above 90; oil to 3–4; score 28–29 (only oil can rise).
Deal collapse — talks stall on terms	28%	Unchanged, and still the largest non-war line. The architecture became specific and so did the failure conditions. No Omani statement of any kind exists; Gharibabadi denies any US–Iran negotiation; Axios and the Irish Times contradict each other on Supreme Leader approval and Pezeshkian says contact with him is 'very difficult'; the deal is conditional on lifting a blockade UKMTO records as still being enforced; and Trump has publicly refused the fee mechanism Iran has proposed.	Brent \$88–105; oil back toward 3; Threshold B re-arms; score 28.
Mediated pause — the strait reopens	16%	Higher for a second session, on agreed coordinates, a drafted joint statement, a 60-day interim mechanism with a 30-day mine-clearing target, and a Gulf official telling CNN the odds of a deal by Friday are 50-50. A signed instrument starts the ten-session maritime clock and supplies the mediated-pause leg the oil downgrade needs, with the price already \$5.38 from the anchor. It remains unsigned, unconfirmed by the mediator and conditional.	Brent \$70–80; MOVE under 75; maritime→3–4 on verified traffic, oil→1, escalation→4; score falls toward 21–23.
Contained but violent — blockaded stalemate	15%	Lower, mechanically, as the pause line rises — but the content of this path strengthened. The strait is shut on day 158 at UKMTO threat level SEVERE, TankerMap counted zero transits on 5 Aug, a tanker reported explosions off Kumzar this morning, the Houthis say they will now target tankers in the NORTHERN Red Sea, and the score sits at 27 regardless because five of six channels are pinned at 5.	Brent \$75–90; MOVE 72–82; risk premium \$3–12/bbl; score holds 27.
Regional relapse — Gulf energy infrastructure hit	11%	Unchanged in probability and materially worse in character. Iran has now explicitly threatened Gulf energy facilities, refineries, grids, water and transport in a message to three Gulf foreign ministers — but conditional on a US strike whose probability fell this session. The unconditional odds are flat; the conditional severity is higher. Exposure unchanged: Jizan out to ~15 Aug, Abqaiq and Damietta unreported since 30 Jul, spare capacity ~0.17 mb/d, and a 7 Aug Iraqi deadline that remains Tier 3.	Brent \$150+; emergency policy response; HY spreads above 500 bp; score 29–30.

Probability shifts from the 5 Aug edition: mediated pause +5 (11→16), the largest single rise for a second consecutive session, on agreed coordinates and a drafted joint statement; full war –3 (33→30) on a seventh session without a strike, tempered by Trump's 'send it up again'; contained-but-violent –2 (17→15), mechanically, as the pause line rises; deal collapse unchanged at 28% and still the largest non-war line; regional relapse unchanged at 11%, because Iran's explicit threat to Gulf energy infrastructure raises the severity of that path rather than its probability, being conditional on a US strike that became less likely this session. Probabilities sum to 100. The map has now tilted toward de-escalation for a second session, and it still rests entirely on an instrument no one has published and a mediator who has said nothing.

6 · Watchlist · next 24 to 72 hours

The 30Y refunding leg on Thursday 13 August — the statement passed, the auction is the real test. Treasury held coupon sizes on 5 August, so the supply shock this monitor had flagged for a fortnight did not arrive through the announcement. It can still arrive through demand. The 3Y auctions 11 August at \$58bn, the 10Y 12 August at \$42bn and the 30Y 13 August at \$25bn, all settling 17 August, into a long end 55.3 bp above its pre-war anchor and 11.80 bp above the 13 May stop of 5.050%. A tail on the 30Y leg re-arms Threshold B quickly, and it would do so with MOVE at 73.58 — that is, with the market positioned for the opposite.

Whether an Iran–Oman joint statement is actually published — and whether Oman ever says anything. This remains the single event that could move two channels. What has changed is that the thing to verify is now concrete: a published joint statement with the agreed coordinates, an Omani confirmation from Badr al-Busaidi or the Omani foreign ministry, a US position on lifting the port blockade UKMTO still records as being enforced against 44 vessels, and clarity on fees after Trump publicly refused them. Note what is missing from every account so far: the mediator has not spoken. An announcement does not move a channel; the 3 August episode is the reference case.

July payrolls on 7 August, into a softening labour tape and a hardening inflation tape. ADP printed +44k against a consensus near +70k with June revised down, and ISM services missed at 54.1 with its employment gauge falling the most since March — but ISM prices paid jumped to 70.3. Governor Cook, a majority voter on 29 July, now says she is 'prepared to act' if disinflation does not resume. A weak payroll with hot services prices is the configuration that most complicates a September decision, and 5Y5Y at 2.3067% says forward inflation compensation has not yet conceded the point. CPI lands 12 August, before the 15–16 September FOMC.

AUTMUSAG's next print, now that the break has stopped extending. The scored series backfilled 4 August at \$4.75 — back on the trigger rather than through it, and the first print not above the line since 29 July — and is blank for 5 and 6 August. Every corroborating retail gasoline measure is flat to easing. What would change the read is a backfill materially below \$4.75; what argues it will not come is diesel, up 58.5 cents on the month at \$5.3622 with distillate stocks 3.5 mb lower on the week and about 12% below the five-year average. Refining, not crude, is the binding constraint.

The Kumzar explosions, the unresolved Minoan Pioneer, and the Houthis moving north. A tanker reported two explosions about 9 nm south-east of Kumzar this morning with no attribution — the third maritime safety event in the strait in four days, against CENTCOM's statement that the southern route 'remains free and open'. The Minoan Pioneer's attribution, missing third engineer and salvage status have produced no reporting since 4 August and are carried as unresolved rather than closed. In the Red Sea the Houthis claimed the Wafa off Yanbu and the Daisy in the Gulf of Aden and told Bloomberg they will target tankers in the northern Red Sea, which extends the threat envelope toward Saudi Arabia's alternative export route.

The 7 August Iraqi deadline, Jizan's restart, and three series to re-verify. The 7 August Islamic Resistance in Iraq deadline to Baghdad remains Tier 3 in origin (Press TV, 29 July) with Tier 3 corroboration only and no militia activity reported 4–6 August — it is watched, not used. Aramco's 400k b/d Jizan complex is still targeted to restart about 15 August with no update since 30 July; Abqaiq and Damiyeta remain unreported. On the data side: JGLA backfilled 5 August at ¥3,353 and has no 6 August print; AUTMUSAG is blank for 5 and 6 August; SOFR backfilled 4 August at 3.66 and is blank for 5 and 6 August; MOVE and VIX printed for 5 August but not 6 August.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US Iran BBG Data.xlsx, 155 data rows × 99 columns, restated front-month continuation series). Tickers: CO2/CL2 Comdty (front-month; last confirmed close \$77.86 / \$74.05 on 5 Aug, intraday \$78.20 / \$74.45 with a Brent high of 78.34 and low of 77.39); COA/CLA Comdty (active, unscored — \$79.93 / \$75.64); NGA (\$2.672 intraday, the lowest since 29 Apr), TZTA (€53.850 intraday after a 5 Aug close of €52.404, the lowest since 13 Jul) and JGLA (**5 Aug BACKFILLED at ¥3,353**, the lowest since 17 Jul; no 6 Aug print, flagged not carried); USGG2YR/5YR/10YR/20YR/30YR (**the 30Y closed 5.1680% on 5 Aug, the lowest since 28 Jul, and the 10Y 4.6127%, a third consecutive close below the 4.65% Stage-4 leg**; 5.1638% / 4.6107% intraday); USYC2Y10 (+42.730 close, +42.339 intraday); USGGBE10 (2.2176 close, a second consecutive close below the 2.2569 pre-war anchor and the lowest since 28 Jul; 2.2164 intraday); USGG5Y5Y (2.3067 close, a seventh consecutive close above the 2.30% trigger by 0.67 bp and the lowest since 28 Jul; 2.3061 intraday); SOFRRATE (**4 Aug BACKFILLED at 3.66**; blank 5 and 6 Aug, flagged not carried); **MOVE (73.58 on the 5 Aug close, -3.98, the lowest since 20 Jul and BELOW the 75 Treasury-downgrade leg for the first time since 29 Jul; no 6 Aug print)** and VIX (15.81, -0.69, the lowest since 15 Jul; no 6 Aug print); DXY (99.676 close, the lowest since 16 Jun and a fifth consecutive decline, 99.670 intraday); AUTMUSAG (AAA all-grades pump — score reference; **4 Aug BACKFILLED at \$4.75, the first print not above the \$4.75 trigger since 29 Jul**; blank 5 and 6 Aug) and USRFRUSA (DOE regular spot, weekly — corroboration; \$4.079 for the week to 3 Aug, no new release until 10 Aug). **Data-integrity note:** the stale-row check clears. The 5 Aug row has refreshed and differs materially from the intraday values published for it (TTF €52.404 against €55.100; MOVE an actual 73.58 against a carried 77.56; DXY 99.676 against 99.850), so it is a true close and every trigger test in this edition runs off it. Three series backfilled in this extract: JGLA for 5 Aug, AUTMUSAG for 4 Aug and SOFRRATE for 4 Aug. The 27 Feb 2026 anchor was re-verified field by field and is unchanged.

Tier 1 — news and institutional. US Treasury (Quarterly Refunding Statement, press release sb0590, 5 Aug: 2Y \$69bn, 3Y \$58bn, 5Y \$70bn, 7Y \$44bn, 10Y \$42bn new, 20Y \$16bn, 30Y \$25bn new, 2Y FRN \$28bn — a \$125bn August package with no coupon increase; buybacks up to \$38bn off-the-run plus \$25bn for cash management; TIPS held; possible short-dated CMB around end-August; auctions 11, 12 and 13 Aug settling 17 Aug; the guidance sentence 'Treasury anticipates maintaining nominal coupon and FRN auction sizes for at least the next several quarters'; and the 3 Aug borrowing estimates of \$739bn for Jul–Sep and \$628bn for Oct–Dec). **EIA** (Weekly Petroleum Status Report of 5 Aug for the week to 31 Jul: crude 407.0 mb +2.5, gasoline 209.7 mb -1.6, distillate 107.2 mb -3.5 and ~12% below the five-year average, refinery utilisation 96.5%, SPR 304.8 mb after a 3.0 mb draw; and the Gasoline and Diesel Fuel Update for the week to 3 Aug — regular \$4.079, on-highway diesel \$5.348). **AAA** (regular-grade national average \$4.0801 and diesel \$5.3622 on 5 Aug, against \$4.0892 / \$5.3715 on 4 Aug, \$4.0907 / \$5.3293 a week earlier and \$3.8039 / \$4.7773 a month earlier). **Reuters and Bloomberg** (Baghaei on 5 Aug that the geographical coordinates of the route proposed by Iran and Oman have been agreed, the talks are 'professional', a joint statement is in final review and drafting contingent on no third-party interference, and the agreement 'in itself does not mean the strait is safe' while the US blockade stands). **Axios** (the 60-day interim mechanism: inbound via a northern lane in Iranian waters, outbound via a southern lane in Omani waters, no tolls or fees for 60 days, naval mine clearing targeted at 30 days, a permanent arrangement to follow, Qatar/Pakistan/Saudi Arabia mediating, Witkoff/Araghchi/Badr al-Busaidi as principals, and Iranian leadership approval completed on 4 Aug). **Irish Times** (that the Supreme Leader must still approve, and that the US would lift the blockade and reinstate an oil sales waiver if the agreement holds) — directly contradicting Axios on approval. **Reuters** (Pezeshkian on state television that contact with the new Supreme Leader is 'very difficult' at present; and the 5 Aug exclusive that Araghchi warned his Saudi, Turkish and Qatari counterparts and Pakistan's army chief that Iran would retaliate against Gulf energy facilities, refineries, electricity grids, water infrastructure, transport networks and oil fields if the US struck Iranian infrastructure, with reference to the 2019 Aramco attacks; that MBS phoned Trump urging delay; and that Riyadh warned Tehran it would defend itself). **ABC News and CBS News** (Trump on 5 Aug that the two sides 'are talking', that the US had been 'all set for the biggest attack since World War II' before Iran asked for talks, 'we may have to send it up again', and 'I'd rather make a deal because I don't want to kill people'). **CNBC** (Bessent signalling a deal is close; and the 6 Aug pickup of Gharibabadi). **CNN** (a senior Gulf official putting an Iran–Oman deal by Friday at '50-50'). **Al Jazeera** (Vance on 5–6 Aug that the talks are 'messy' and Iran's government 'fractured'; Iranian officials that any Hormuz agreement does not mean a return to pre-war conditions; and the UKMTO report at 00:30 GMT on 6 Aug of a tanker hearing two explosions about 9 nm south-east of Kumzar, Oman, vessel and crew safe). **US State Department** (Rubio and UK Foreign Secretary Miliband reaffirming commitment to open Strait transit, 5 Aug). **CENTCOM** (no combat release since 29 Jul; a 5 Aug change-of-command release; and a 5 Aug statement that the southern route through the strait 'remains free and open for all commercial vessels' with more than 1,000 vessels assisted in three months). **UKMTO** (JMIC Advisory Note Update 080 of 4 Aug: 80 maritime security incidents since 1 Mar; Hormuz SEVERE, Gulf of Oman and southern Red Sea SUBSTANTIAL, Arabian Gulf MODERATE; incidents 103-26 of 2 Aug — VHF threats claiming to be from the 'Sepah Navy' with explosions near vessels in Omani territorial waters — and 104-26 of 3 Aug, the Minoan Pioneer; single-digit tanker transits a day against a 138/day historical average; 44 vessels redirected under US blockade enforcement as of 3 Aug). **Lloyd's List Intelligence** (Strait of Hormuz Brief of 5 Aug: 84 total transits 27 Jul–2 Aug against 45 the week

before, 52 non-Iranian-linked against 28, 21 westbound non-Iranian-linked against 11; two confirmed strikes on ships using the Omani route since 1 Aug; 65 vessels trapped inside the Gulf after entering during the lull, plus 70 more stuck since the conflict began). **Windward** (15 transits in the 24 hours to 3 Aug, 10 outbound and 5 inbound, 4 AIS-dark), **TankerMap** (zero transits 5 Aug; seven-day average near 1.0) and **straits.live** (2 vessels on 2 Aug against a typical 73; 227 vessels holding; war-risk cover near 30 times pre-crisis with a VLCC premium around \$10m a voyage and six P&I clubs withdrawn). **Lloyd's Market Association** (safety concerns rather than insurance availability are suppressing traffic). **Bloomberg** (the Houthis saying they will target tankers in the northern Red Sea). **gCaptain** (the Indian MSV Faize Noore Oliya sinking off Hodeidah on 4 Aug with all 14 crew rescued). **ADP** (+44,000 private jobs in July, June revised to +95k, annual pay +4.4%), **ISM** (services 54.1 with prices paid 70.3 and the largest employment drop since March, 5 Aug), **Federal Reserve** (Governor Lisa Cook, 5 Aug: 'If I do not see signs of continued disinflation soon, I am prepared to act'; the 29 Jul hold at 3.50–3.75%, 9–3 with three dissents for a hike). **OPEC** (the 2 Aug decision to add 188k b/d for September). **IEA** (Oil Market Report of 10 July: effective OPEC+ spare capacity ~0.17 mb/d). **Reuters citing IIR** (Jizan targeted to restart about 15 August). **Iraqi News** (July seaborne crude exports 1.25 mb/d, up 153% on June's 493k b/d but down 63% on July 2025's 3.38 mb/d). **Fortune** (1 Aug: Melius Research estimating nearly 10% of world refining capacity offline; Exxon's Woods and Hansen and Chevron's Wirth on refining as the binding constraint and upward pressure on product prices into Q3).

Tier 3 — state media and combatant claims (labelled). IRNA carried Gharibabadi's 5 Aug statement that 'US claims that they are negotiating with Iran are untrue, and there are no negotiations', while confirming Tehran has received US messages indicating readiness to return to its obligations; CNBC picked it up at Tier 1 on 6 Aug. The Houthi claims of ballistic-missile attacks on the Saudi tankers Wafa off Yanbu and Daisy in the Gulf of Aden on 5 Aug are combatant claims, reported by Al Jazeera and CBS News but with no Saudi confirmation and no damage or casualty figures. The 7 August Islamic Resistance in Iraq deadline to Baghdad originated with Press TV on 29 July and has Tier 3 corroboration only. **Corrections and re-verifications this edition:** (i) the figure that roughly 10% of global refining capacity is offline, carried in the 1–5 August editions as an Exxon and Chevron statement, in fact originates with **Melius Research** via Fortune of 1 August — the Exxon and Chevron executives made qualitative statements only, and a competing estimate citing IEA data puts the peak outage nearer 3.5% of global capacity, so the attribution is corrected and the magnitude is reported as contested; (ii) UKMT0's latest advisory is **Update 080 of 4 August**, not Update 079 of 2 August as reported yesterday; (iii) yesterday's reading that the political-stress upgrade was being 'reinforced' is **corrected** — AUTMUSAG's 4 August backfill at \$4.75 is not above the trigger, so the run through the line is three closes and the upgrade is intact rather than strengthening; (iv) the SOFR 'last print 3.65 on 3 August' reported yesterday is superseded by the 4 August backfill at 3.66; (v) the Minoan Pioneer items — attribution, the missing third engineer and salvage — produced no reporting after 4 August and are carried as **unresolved**, with an unverified social-media attribution to Iran explicitly NOT used; (vi) the September hike probability is reported at about 56% second-hand via Kalshi News for 5 August, still not sourced direct from CME Group, and remains labelled unverified.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row (6 Aug, Thursday) as intraday; re-map columns via the robust scan (front-month CO2/CL2; DXY resolves as DXY Index). The stale-row integrity check CLEARS: the 5 Aug row has refreshed with true closes that differ materially from the intraday values published for it — TTF €52.404 against €55.100, MOVE an actual 73.58 against a carried 77.56, DXY 99.676 against 99.850. Three series BACKFILLED: JGLA for 5 Aug at ¥3,353, AUTMUSAG for 4 Aug at \$4.75 and SOFRRATE for 4 Aug at 3.66. Currently dark and flagged, not carried: JGLA, AUTMUSAG, SOFRRATE, MOVE and VIX all have no 6 Aug print.
2	Recompute deltas	d/d vs the 5 Aug close; w/w vs the close five trading sessions back (30 Jul this edition); vs-pre-war against the 27 Feb 2026 anchor, re-verified field by field and unchanged.
3	Re-evaluate the six channels	Market channels move on confirmed closes only. No channel moved; the score holds at 27/30. Oil held at 2 (last close \$77.86, \$17.14 below \$95 and \$5.38 above the \$72.48 anchor — the pause leg is not met). US inflation held at 5 (5Y5Y closed 2.3067%, a seventh consecutive close above 2.30% but by only 0.67 bp; the downgrade sits at the 2.142% anchor, 16.47 bp lower). Treasury held at 5 — the MOVE leg of its downgrade is SATISFIED at 73.58 for the first time in the war, and the 30Y leg fails by 16.80 bp. Political held at 5, with the break no longer extending after the 4 Aug backfill at \$4.75. Maritime and escalation are event-based and both maxed; the escalation downgrade candidate gained architecture and lost evidence in the same session.
4	Reconcile against the prior edition	Wednesday's US session was the quietest reconciliation in a fortnight on price and the noisiest on volatility. My 5 Aug intraday Brent \$77.76 versus the \$77.86 close (+\$0.10, the smallest crude gap since 21 Jul); WTI \$74.17 vs \$74.05 (–\$0.12); COA \$79.17 vs \$79.45; CLA \$75.44 vs \$75.22; Henry Hub \$2.693 vs \$2.688; TTF €55.100 vs €52.404 (–€2.696) ; 30Y 5.1806% vs 5.1680% (–1.26 bp); 10Y 4.6228% vs 4.6127% (–1.01 bp); 2s10s +41.879 vs +42.730 (+0.85 bp); BE10 2.2294% vs 2.2176% (–1.18 bp); 5Y5Y 2.3171% vs 2.3067% (–1.04 bp); DXY 99.850 vs 99.676 (–0.174); MOVE a carried 77.56 vs an actual 73.58 (–3.98) ; VIX a carried 16.50 vs an actual 15.81 (–0.69).
5	Update scenarios and watchlist	Re-rank catalysts: the 30Y refunding leg on 13 Aug is now the live Stage-4 test after the statement passed; whether an Iran–Oman joint statement is published and whether Oman ever speaks; payrolls 7 Aug into ADP +44k and ISM prices-paid 70.3, then CPI 12 Aug; AUTMUSAG's next print against a break that has stopped extending; the Kumzar explosions and the unresolved Minoan Pioneer; the Tier 3 7 Aug Iraqi deadline and Jizan's ~15 Aug restart. Mediated pause 11→16, full war 33→30, contained-but-violent 17→15, deal collapse unchanged at 28, regional relapse unchanged at 11.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market channels move only on a confirmed close through a trigger; escalation-risk and maritime denial are event-based. Hysteresis: upgrades fire on a sustained break, downgrades only on a sustained reversal past a wider threshold, deliberately, to avoid whipsawing. This edition applies the rule three times in three directions. Treasury holds at 5 although one leg of its downgrade is now satisfied, because the rule requires both. US inflation holds at 5 although the 2.30% break that fired the upgrade is 0.67 bp from disappearing, because the stated downgrade sits 16.47 bp lower at the pre-war anchor — a tension this monitor flags rather than resolves quietly. Escalation holds at 5 although the diplomatic track gained coordinates, a drafted statement and a 60-day mechanism, because a mediator that has never spoken on the record is not confirmation and a threat to Gulf energy infrastructure is not a stand-down. The 25–26 June whipsaw and the 3 August announcement that never became an event remain the reference cases.

Scale cap — binding on five of six channels, and cutting both ways. Maritime and escalation have been pinned at 5/5 since 10 and 9 July, Treasury since 14 July, US inflation since 31 July and political stress since 4 August. **Only oil, at 2/5, retains any upward range** — three points in a thirty-point scale. Readers have been asked for a month to hold the consequence that further geopolitical deterioration cannot raise this score; the mirror image now applies with force. This session delivered a benign fiscal test, a fully round-tripped rates volatility index, a third close with Threshold B unsatisfied, and a negotiation with agreed coordinates — and the score did not move a point, because no event channel can come off its maximum until a de-escalation has persisted rather than merely been described. A flat 27 is a saturated scale, not a stable situation.

Data integrity this edition. The stale-row check clears: the extract's 5 August row refreshed properly and its closes differ materially from the intraday values published for it (TTF €52.404 against €55.100, MOVE an actual 73.58 against a carried 77.56, DXY 99.676 against 99.850), so 5 August is a confirmed close and every trigger test runs off it. The other side of the two-way check also reports: **three series flagged as dark yesterday have BACKFILLED** — JGLA for 5 August at ¥3,353, AUTMUSAG for 4 August at \$4.75 and SOFRRATE for 4 August at 3.66 — and the AUTMUSAG backfill changes a substantive reading, because \$4.75 is not above the trigger and yesterday's 'reinforced' framing is corrected accordingly. Currently dark and flagged rather than carried: JGLA, AUTMUSAG, SOFRRATE, MOVE and VIX all have no 6 August print. Where third-party sources disagree materially the disagreement is reported rather than resolved by preference: the Hormuz transit trackers continue to disagree by an order of magnitude on the same days — Lloyd's List 84 transits in the week to 2 August, Windward 15 in the 24 hours to 3 August, TankerMap zero on 5 August, straits.live 2 on 2 August — with pre-war baselines quoted anywhere between 73 and 138 crossings a day, and no average is taken across incompatible vessel universes. The Bloomberg extract governs for every scored series; no price, yield or spread in this document comes from a news source.

Gasoline series. Political stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war \$3.52, peak \$5.18, latest confirmed print \$4.75 on 4 August — backfilled in this extract, one cent below Monday and the first print not above the \$4.75 trigger since 29 July, so the run through the line is \$4.76 on 30 and 31 July and 3 August, three closes rather than four — with 5 and 6 August blank). USFRUSA (DOE regular spot; pre-war ~\$2.94, peak \$4.50, latest \$4.079 for the week to 3 August, no new release until 10 August) is tracked alongside as corroboration only. Neither series is re-based. The basis note matters more now that the two are diverging: AUTMUSAG is an ALL-GRADES series and AAA's own published national average is REGULAR-grade, which printed \$4.0801 on 5 August. The gap is structural and runs the whole history of this monitor — the same gap exists at the pre-war anchor, \$3.52 against ~\$2.94 — so a reader comparing the scored \$4.75 with a press report of \$4.08 is comparing different series, not finding an error. The trigger, the anchor and the full history are all set on AUTMUSAG and re-basing would invalidate them. Diesel is reported separately because the binding constraint on the pump is refining rather than crude: AAA had on-highway diesel at \$5.3622 on 5 August, up 58.5 cents in a month, and EIA distillate stocks fell 3.5 mb in the week to 31 July to about 12% below the five-year average.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified field by field — unchanged.) Brent +7.9%, WTI +11.1%, TTF +72.4%, Asia LNG +100.9%; the 30Y (+55.3 bp), 10Y (+67.3 bp), 5Y5Y (+16.4 bp), DXY (+2.06) and now only marginally MOVE (+0.20) sit above their anchors; the 10Y breakeven (–4.1 bp), VIX (–4.05) and Henry Hub (–12.8%) are below pre-war. The composition of that list is the edition in one line: **rates volatility has returned to where it started the war and spot inflation compensation has gone below it, while the level of long-end yields has not moved back at all.** The 30Y is still 55.3 bp above its anchor with MOVE at 73.58. That is a term-premium story, not a volatility story, and it is why this channel is pinned at 5 on one leg rather than released on both.

Intraday caveat. The latest dated row is a Singapore-AM snapshot and US hours set the close. The error is regime-dependent rather than random — large when the US session has something to trade, small when it does not — and this session is the small case, four sessions after the largest upside gap and one after the largest downside one: Brent closed ten cents ABOVE my snapshot and the curve within 1.3 bp of it. The corollary flagged on 5 August still stands in reverse: a quiet reconciliation is not evidence that the next one will be quiet. Two fields moved anyway and both were invisible in the morning print — MOVE, which had not printed at all on Tuesday and closed 3.98 lower than the value carried, and TTF, which closed €2.696 below the snapshot. Recent Brent gaps between my snapshot and the subsequent close: –\$2.01, –\$3.32, –\$0.84, +\$1.97, –\$0.47, –\$3.99, +\$0.10. CL2 remains an artifact against active CLA and the front-month/active gap is \$1.73 in Brent; the scored CO2 continuation series is unaffected. Triggers are evaluated on confirmed closes; escalation-risk and maritime denial are event-based. Restated-series levels are not comparable with pre-restatement editions, though the directional analysis is continuous.